

TYRE SPOT LIMITED

UK Independent Tyre Retailer + Wholesaler — North East England

Investment Thesis — Chiltern Capital (Kerr's Tyres add-on)

Executive Summary

NE England's biggest indie tyre retailer + wholesaler. Founders aged 80 and 76. Add-on for Kerr's.

£35.0m

FY25 Turnover
+12.3% YoY (10.5% CAGR FY22-25)

£1.13m

FY25 EBITDA
3.2% margin (target 8-9%)

12 + 3

Retail branches + Wholesale hubs
NE England + Scottish Borders

81 + 77

Founder Ages
Succession trigger 24-36 mo

~29%

Model IRR (4-yr hold)
£1.97m EBITDA Yr 4 (Base)

COMPANY SNAPSHOT

- **Core business:** 12 retail branches + 3 wholesale hubs. NE England's largest indie tyre group.
- **HQ** Drum Road, Birtley, Co. Durham (+ Darlington & Newcastle wholesale hubs)
- **Core services:** tyres, MOT, Castrol servicing, brakes, batteries, alignment.
- **Accreditations:** 6 Pirelli Performance Centres + 9 Castrol Service Centres.
- **Brand partnership:** UK Massimo partner since 2019. Stocks all premium, mid-tier and value brands.
- Wholesale serves 6 counties including the Scottish Borders — overlaps Farmer territory.
- 40+ years trading. Shaw family Ltd. No PE. £1.2m net debt (paying down). CH 02854187.
- 155 employees. £4.5m of tangible assets (freehold-heavy).

WHY NOW — INVESTMENT CATALYST

- Founders aged 80 and 76 (incorporated 1993). Son b.1978 on board since 2004. Succession decision forced in next 24-36 months.
- Chiltern's own thesis (portfolio page): "multi-site acquisitions in new regions."
- Wholesale already delivers into Scottish Borders — natural extension of Farmer's Scottish estate.
- £6.5m deal sits inside Kerr's existing facility. No new fund equity needed.
- Revenue +10.5% per year FY22-25 (£26m → £35m). But margin compressed 3.4% → 2.2% as admin costs ran ahead of profit.
- 5 levers: admin cut, procurement scale, MOT capacity, service mix, infill acquisitions.

Company Overview

40+ years in NE England. Started as a petrol station. Family-owned, third generation on the board.

HISTORY & OWNERSHIP

- ~**1984**: business begins trading from a single petrol forecourt (40+ yrs claim per tyrespot.co.uk)
- **Sep 1993**: Tyre Spot Limited incorporated (CH 02854187); Mr J W Shaw + Mrs P Shaw appointed at incorporation
- **Nov 2004**: Mr J T Shaw (b. 1978, next-gen) appointed to board (Companies House officers page)
- **2019**: becomes UK partner for Massimo Tyres on brand’s UK launch
- **2024-26**: founders now 81 and 77 — demographic succession trigger live

OPERATIONS & FOOTPRINT

- **HQ**: Drum Road, Birtley, Co. Durham DH3 2AF
- **Retail branches**: 12 sites across Tyne & Wear, Co. Durham, Tees Valley.
- **Wholesale hubs**: 3 hubs (Birtley + Darlington + Newcastle). Deliver across 6 counties.
- **FTEs**: 155 (138 service, 11 sales, 3 office, 3 directors).
- **Asset base**: £4.5m, freehold-heavy from petrol-station origin. One sold in FY24.

SERVICES & ACCREDITATIONS

- Tyres, MOT, Castrol servicing, alignment, brakes, batteries, exhausts.
- 6 Pirelli Performance Centres — premium accreditation.
- 9 Castrol Service Centres.
- UK Massimo partner since 2019. Carries 10 Massimo patterns.
- Full brand range from Michelin/Pirelli/Bridgestone to value tiers.

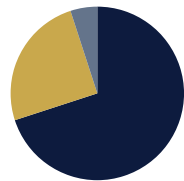
CUSTOMERS & DEMAND

- Retail: local motorists + light fleet.
- Wholesale: trade garages and fleets, 6 counties.
- Online: “Click and Fit” e-commerce, fits at branch.
- Demand: ageing UK fleet, annual MOTs, winter tyre seasonality.
- Revenue split by channel not disclosed — DD priority.
- Sticky: local convenience, MOT recurrence, premium-brand accreditation.

Business Model & Revenue Drivers

Three integrated businesses · single trading entity · 100% UK revenue · single segment per filed accounts

Geographic Mix — FY25



■ Retail (est.) ■ Wholesale (est.)
■ Other (est.)

REVENUE COMPOSITION

- Companies House (Note 3 FY25): single segment “Tyre distribution — sale of goods”, 100% UK
- Underlying split (retail / wholesale / Massimo) not disclosed — DD priority
- Retail autocentres: 12 branches NE England — tyres, MOT, service, alignment
- Wholesale distribution: 3 hubs serving 6 counties incl. Scottish Borders
- Brand partnership: full Massimo range stocked since 2019 (Massimo: 1m UK units sold by

UNIT ECONOMICS & DEMAND

- Revenue per site ~£2.9m FY25 (£35m / 12 sites) — wholesale top-line inflates retail benchmark
- Wages-to-revenue 17% FY25 (£5.9m wages on £35m revenue) — labour-intensive service operation
- Top-line +12.3% FY25 YoY · gross margin 25.7% (stable 24-27% across 4 yrs)
- Stock £4.9m (FY25) ≈ 69 days COGS — wholesale book holds bulk of inventory

RETAIL + WHOLESALE INTEGRATION

Retail branches buy through the wholesale arm at scale — procurement leverage flows through to fitting margins. Wholesale customers (trade garages) double as a regional demand engine for premium brands. The two businesses are mutually reinforcing within a single legal entity.

ACCREDITATION MOAT

6 Pirelli Performance Centres + 9 Castrol Service Centres — manufacturer accreditations require capex investment + training. These differentiate vs Kwik Fit / Halfords commoditisation and underpin premium pricing. Tyre Spot positions as “largest independent in NE England”.

MARGIN COMPRESSION (the lever)

Margin fell 3.4% to 2.2% even though revenue grew £26m to £35m. Admin costs went up 50%; gross profit only 40%. The business is healthy with customers — it’s just running too expensive at head office. Move finance, payroll and IT onto Kerr’s group platform. Peers run at 8-9% margin (Halfords Autocentres 8.7%, Kerr’s 9.5%). Target the same.

Market Analysis

UK tyre market growing 4-5% CAGR · ATS Euromaster UK wind-down opens fleet whitespace · Fragmented indie landscape

\$11.0bn

UK Tyre Market (2024, Credence Research)
~4.2% CAGR to 2032

~150

ATS Euromaster UK sites in wind-down
Michelin exiting UK — share dislocation live

~9.5 yrs

Average age of UK vehicle parc
Ageing fleet drives aftermarket demand

STRUCTURAL TAILWINDS

- UK tyre market \$11.0bn 2024 → \$15.3bn 2032 (Credence Research, 4.21% CAGR)
- Ageing UK vehicle parc — average age ~9.5 yrs vs ~7 yrs pre-2020 — extends aftermarket repair frequency
- MOT regulation — non-discretionary annual spend per vehicle = recession-resilient base demand
- EV transition shifts mix to premium / EV-rated tyres at higher ASP — supports unit revenue

INDUSTRY DISLOCATION

- ATS Euromaster UK (Michelin-owned, ~150 sites) wound down 2025-26 — fleet contracts and tyre supply re-tendering
- Halfords + Kwik Fit (ETEL/Itochu) market leaders contracting in 2024-25 per trade press
- Point S cooperative moves into UK top 3 — signal of regional indie consolidation pull
- Formula One Autocentres absorbed ATS sites in 2026 — actively consolidating Midlands but lighter in NE

NE England Regional Fit

Tyne & Wear + Co. Durham + Tees Valley — high MOT density, lower national-consolidator coverage

Borders Overlap with Farmer

Tyre Spot wholesale already delivers into Scottish Borders + Cumbria — same geography as Kerr's Farmer estate

EV Transition Profile

EV tyres higher ASP and faster wear — neutral-to-positive for revenue per vehicle

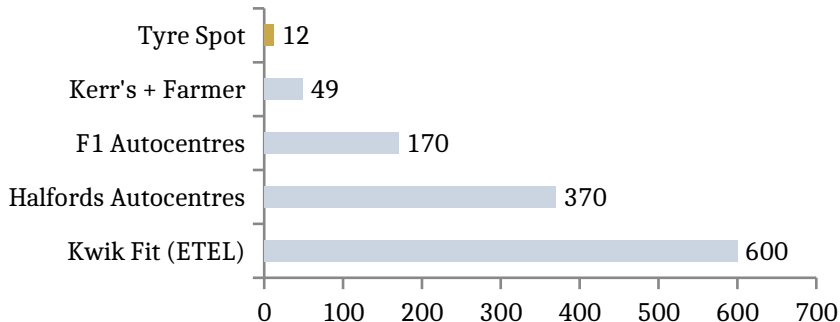
Fragmentation = Roll-up Runway

UK fast-fit indies sub-£20m: 100+ candidates; Tyre Spot itself is the next bite for Kerr's/Chiltern

Competitive Positioning

NE England's largest indie · differentiated by Pirelli/Castrol accreditation + wholesale arm · 12-site retail density

Public Market EV/EBITDA Benchmarks (LTM)



TYRE SPOT COMPETITIVE DIFFERENTIATORS

- Integrated retail + wholesale — three distribution hubs power 12 retail branches; procurement scale within a single entity
- 6 Pirelli Performance Centres + 9 Castrol Service Centres — premium accreditation differentiates vs Kwik Fit / Halfords commoditisation
- 40+ years trading from a single petrol forecourt to NE England's largest indie — long-tenure managers, deep customer base
- Wholesale geography: Northumberland, Scottish Borders, Tyne & Wear, Cleveland, N. Yorks, Cumbria — overlaps Farmer Autocare estate
- UK partner for Massimo Tyres since 2019 — value-tier brand penetration vs major brands only
- Entry EV £5.5-7.0m sits comfortably inside Kerr's add-on facility — bolt-on bite for Chiltern

COMPETITIVE MOAT

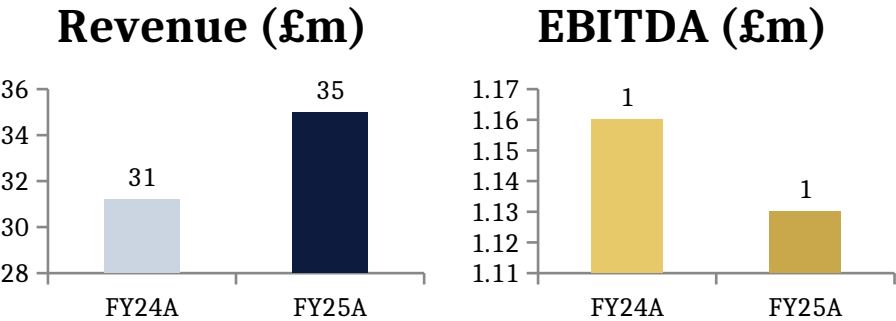
- Pirelli Performance Centre and Castrol Service Centre accreditation requires capex + training — multi-year replication time
- Local brand recognition built over 40+ years — Google review base, long-tenure branch managers, repeat customers
- Customer switching cost: local convenience + relationship trust + Castrol service tier reinforce stickiness

KEY DILIGENCE ITEMS

- Revenue split (retail / wholesale / Massimo) — single-segment disclosure in filed accounts; need branch-level P&L in DD
- Op margin compression FY22-25: cause unknown — wage inflation, energy, or specific admin overhead?
- Freehold vs leasehold mix across 12 sites (petrol-forecourt origin suggests freehold-heavy) — SLB optionality

Financial Performance

10-yr margin range 1-7% (BBG); FY22 4.63%, FY21 peak 6.69%, 5-yr avg 4.27% · Base case recovery to 4.6% (already achieved in FY22)



Capital Structure — 31 March 2025	
External debt / charges registered	£0.42m bank loan + £0.81m overdraft (Note 19)
Tangible fixed assets	£4.52m (of which £2.79m freehold)
Cash at bank	£0.03m
STOCKS	£4.91m
Stock days COGS	~69 days
Debtors	£3.61m
Retained earnings c/f	£6.62m
BALANCE SHEET QUALITY	Asset-backed; 1.06x net debt/EBITDA

Source: Tyre Spot Limited filed accounts FY22-FY25 (CH 02854187); tyrespot.co.uk; chilfarncapital.co.uk

P&L Summary			
Metric	FY24A	FY25A	YoY
Revenue (£m)	31.2	35.0	+12.3%
Gross profit (£m)	8.3	9.0	+8.3%
Gross margin	26.7%	25.7%	(100)bps
Operating profit (£m)	0.82	0.75	(8.3)%
EBITDA (£m)	1.16	1.13	(2.5)%
EBITDA margin	3.7%	3.2%	(50)bps
Capex (£m)	n.d.	n.d.	capex not separately disclosed

CASH FLOW QUALITY & KPIs	
• Debenture over all assets + first charge over freehold £2.79m (Note 19) — refinanced at close • Cash £30k at FY25 year-end — tight working capital (likely seasonal) • FY24 saw freehold disposal (loss £154k) — early signal of estate optimisation • EBITDA actually dipped £1.16m → £1.13m even though revenue grew £31m → £35m (+12.3%). Reason: admin costs grew 50% (£5.5m → £8.3m FY22-25) while gross profit only grew 40%. This is an internal cost problem, not a customer one. • Tangible fixed assets £4.52m incl. freeholds — petrol-forecourt origin = freehold-heavy estate (SLB optionality) • Revenue per head £226k FY25 (high vs typical fast-fit, reflects wholesale top-line) Wages/revenue 17% • Stock grew £3.34m → £4.91m FY24-25 (+47%): EBITDA normalisation	

Value Creation Plan

5 operational levers · Target op margin 2.2% → 8-9% · Admin discipline + procurement scale + service mix

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ADMIN DISCIPLINE

2.2% → 4-5%

- **Diagnostic:** Admin costs +50% in 3 yrs; gross profit only +40%.
- **Shared services:** shift finance, payroll, IT to Kerr's shared platform.
- **Target cost-out:** £0.5-1.0m/yr saved in 18 months.

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PROCUREMENT SCALE

~60-site combined platform

- Renegotiate tyre supply on combined ~60-site base.
- Route Kerr's NI/Scotland volumes through Tyre Spot's Birtley hub.
- Target +100-200bps gross margin = £0.5-1.0m/yr.

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SERVICE MIX & MOT BAYS

Branch-level uplift

- **MOT capacity:** Add MOT bays at sites that don't have one.
- **Service mix:** upsell Castrol service, brakes, batteries on every visit.
- **Target:** +200-300bps margin; £30-50k revenue per new MOT bay.

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WORKING CAPITAL

69 → 50 days stock

- **Stock turn:** Stock at 69 days COGS — tighten to 50 days.
- **WC release:** £1.0-1.5m one-off cash freed.
- **Sale-and-leaseback:** family owns property personally (£190k/yr rent). Deal can bundle in those freeholds.

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GEOGRAPHIC INFILL

2-4 bolt-on sites

- **Target:** 2-4 single-site indies in Cumbria, Teesside, North Yorks.
- **Synergy:** matches Chiltern's stated "single-site infill" thesis.
- **Exit prep:** ~65-site platform at exit, premium tier.

Transaction Overview & Returns Analysis

£6.5m EV (5.75x EBITDA, 7% premium to Halfords spot 5.4x) · Y4 £1.97m EBITDA at 4.6% margin (return to FY22 actual) · 2.8x MOIC / 29% IRR · Bull case £3.0m/7.0x → 6.1x / 57%

SOURCES OF FUNDS (£m)	
New senior debt (platform facility top-up)	£3.5m (53.8%)
Sponsor equity (Chiltern, existing Kerr's envelope)	£3.47m (53.4%)
Management rollover (next-gen director)	£0.20m (3.1%)
TOTAL	£7.17m (100%)

USES OF FUNDS (£m)	
Founder consideration + debt take-out (£5.23m family cash + £1.25m existing debt)	£6.48m
Working capital injection (rebuild cash)	£0.40m
Transaction fees + closing costs	£0.29m
TOTAL	£7.17m

SENSITIVITY ANALYSIS (4-YR HOLD)			
Scenario	Exit / EBITDA Y4	MOIC	IRR
Bear (£1.4m, no margin lift)	5.5x / £1.4m	1.5x	11.2%
Base (£1.97m Yr 4, 4.6% margin)	6.0x / £1.97m	2.8x	29.3%
Bull (£3.0m Yr 4, 7% margin = FY21 peak)	7.0x / £3.0m	6.1x	57.0%

BASE CASE RETURNS — 4-YEAR HOLD (uplift case)	
Entry EV / LTM EBITDA	5.75x
Entry equity (bolt-on tranche)	£3.47m
Year 4 EBITDA target	£1.97m (4.6% margin, FY22 actual)
Year 4 net debt (post sweep)	£2.1m
Exit multiple (platform blended)	6.0x
Exit EV (allocated)	£11.85m
Equity to sponsor	£9.7m

2.8x

MOIC — Base Case

29.3%

IRR — Base Case

Conservative-stacked base: Y4 4.6% margin = return to FY22 actual (already achieved). Bull = FY21 peak 6.69% (own historical, with 7.0x re-rating). Bear = no margin lift held flat. Peer ceiling: Halfords AC 9.58% 5-yr avg, Kerr's FY25 9.51% (BBG-verified) — upside above bull case if execution lands at peer level.

Investment Thesis

5 pillars: succession-led entry · growing top-line · margin turnaround · land bridge · Chiltern fit

1. SUCCESSION-LED OFF-MARKET ENTRY	2. GROWING TOP-LINE PLATFORM	3. MARGIN TURNAROUND (the real lever)	4. LAND BRIDGE FROM FARMER	5. STRUCTURAL EDGE + WHY CHILTERN
• Founders aged 76 and 80. Appointed at incorporation in 1993. • Son on board since 2004. Succession forced in 24-36 months. • Family-owned, no PE, no advisor running a process. Off-market window open now. • Direct approach captures the discount before they appoint an advisor.	• Revenue grew £26m → £35m in 3 years (+10.5% per year). Not a turnaround on a sinking ship. • Gross margin stable mid-20s. £4.5m tangible assets + family-owned property (~£225k/yr rent) = larger freehold pool in a structured deal. • Recurring MOT revenue, 40-year local brand, accredited premium tier. • Three integrated lines: 12 retail branches, 3 wholesale hubs, Massimo brand partnership.	• Operating margin fell 3.4% → 2.2% even as revenue grew. • Admin costs grew £5.5m → £8.3m (+50%). Gross profit only +40%. Cost discipline gap. • Base: recover to 4.6% (FY22 actual). Upside: 6.7% (their own FY21 peak). Peer ceiling: ~9.5% (Halfords Autocentres, Kerr's). • Base Y4 EBITDA £1.97m. Bull £3.0m. Each 100bps margin = £350k EBITDA.	• Wholesale already delivers into the Scottish Borders — same patch as Farmer. • 12 NE England branches extend Farmer's estate down the A1 corridor. • ATS Euromaster UK exit is freeing fleet contracts. Scale operators get first call. • Combined ~61 sites unlocks better tyre supply terms.	• NE England's largest indie. 6 Pirelli PPC + 9 Castrol Service Centres. • Chiltern's own thesis says "multi-site acquisitions in new regions." • Precedent: Kerr's + Farmer (April 2026). Same playbook, fresh deal pack. • £6.5m deal fits inside the existing Kerr's facility. Ben Robinson is the deal lead.

Go / No Go

PROCEED — Tyre Spot overlaps Chiltern's Kerr's + Farmer playbook; founder demographics are the timing catalyst

✓ **RECOMMENDATION: PROCEED TO COLD-OUTREACH — Direct to Ben Robinson (Director, Chiltern Capital) with sourced add-on memo**

STRENGTHS

- \$11bn UK tyre market, ~4.2% CAGR (Credence Research) — recession-resilient regulated MOT base
- Revenue +10.5% per year. Profit dipped on admin bloat, not loss of customers.
- 40+ years trading. Shaw family, third generation on the board. Premium accreditations.
- Three lines in one entity: retail, wholesale, Massimo partnership.
- 12 retail branches + 3 distribution hubs. Freehold-heavy.
- £4.5m of tangible assets, £2.8m freehold. Net debt only 1.1x EBITDA.
- Direct overlap with Kerr's. £6.5m deal fits Chiltern's add-on size.

RISKS & CONCERNS

- Margin only 2.2%. Fixing it depends on execution.
- EBITDA £1.13m — only works as a Kerr's add-on, not standalone.
- Revenue split (retail / wholesale / Massimo) not disclosed in filed accounts — DD priority
- Massimo: retailer, not UK importer. No importer margin to claim.
- Both founders 76 and 80. Cultural integration risk after 33 years of family operation.
- Cash only £30k at year-end. Tight, possibly seasonal.
- Stock = 69 days COGS, mostly wholesale book. Wholesale is strategic, not divestible.

PRIORITY DILIGENCE ITEMS

- Branch-level P&L: which sites carry margin, which are dilutive
- Revenue split: retail / wholesale / brand partnerships — single-segment disclosure obscures this
- Freehold (£2.79m) is pledged to Virgin Money — SLB requires senior refinancing first
- Mr J T Shaw (b. 1978) ownership % and exit intention — critical to founder transition
- Related-party rent (Note 24, £225k/yr to Shaw family) — market rent test; potential EBITDA normalisation £50-150k
- Intangibles reconciliation gap FY23–FY24 (Goodwill £49k NBV vanished

NEXT STEPS

- PROCEED — 4-line cold opener to ben.robinson@chilterncapital.co.uk; memo as PDF only after engagement
- STRUCTURE: off-market direct-to-founder; cash + management rollover for next-gen director; bilateral pre-empts competed process
- SUPPORT: Andy Randall (Kerr's Chair, ex-Halfords) operating playbook; Adam Oakes (Associate, Kerr's board) sector intel